

Study Overview

State policies, such as contracting methods and service payment rates, influence employment service provision for people with intellectual and developmental disabilities (IDD). This study examines the relationship between these policies and state agency employment provision for people with IDD using data from Medicaid Home and Community-Based Services (HCBS) waivers across the US. Our analysis explores the relationship between HCBS waiver structures, and the use of employment services and supports.

Sample

We created a catalogue of state-level HCBS waivers containing agency employment service contracting methods and service payment rates for each of the 50 states and the District of Columbia to describe and categorize financing policy. We looked at Medicaid 1915c, i, j, and k waivers as of February 2023^[1]. We only included waivers that included services for people with IDD and supported employment services. We reviewed a total of 101 waivers.

Methods

We grouped all services into one of three service types:

1. supported employment services
2. day services, for example day habilitation, prevocational, community based non-work
3. other services, which include services that enhance an individual's participation in employment or day services, such as non-medical transportation, assistive technology, benefits counseling, and other ancillary services that facilitate access, retention, and success in community-based activities

Table 1 provides an example of some state service definitions.

Table 1. Examples of Waiver Service Types

Service Type	Service Title	Service Definition
Supported Employment	Individual Supported Employment	Supported Employment Individual Services are designed to provide opportunities for people with disabilities to obtain competitive work in an integrated work setting, or employment in an integrated work setting in which individuals are working toward competitive work, consistent with strengths, resources, priorities, concerns, abilities, capabilities, interests, and informed choice.
Day Service	Prevocational Services	Prevocational Services are specified in the participant's Individual Service Plan (ISP) and are directed to habilitative rather than explicit employment objectives. Prevocational Services prepare an individual for paid or unpaid employment. These services are for the individual not expected to be able to join the general work force within one year as documented in the ISP.
Other Service	Community Navigator	The service is designed to assist and support the participant to identify, connect, participate, and fully engage in integrated community activities and resources of interest to the participant in accordance with their ISP goals.

^[1] Learn more about Medicaid 1915c [i waivers](#), [j waivers](#), and [k waivers](#).

We conducted a quantitative analysis using secondary data from state-level HCBS waivers and created a 5-year average of service data from 2018–2022 from the Institute for Community Inclusion’s National Survey on State Intellectual and Developmental Disabilities Agencies’ Employment and Day Services (State IDD Agency survey). We analyzed the following key waiver elements:

- number and type of services offered
- payment structures
- policies related to remote service delivery
- assistive technology
- service documentation

ICI’s Survey on State IDD Agencies’ Employment and Day Services collects state level data on participation in employment and day services and the amount each state spent on each service. Integrated employment services include both job development services and services to maintain paid integrated employment.

These variables were coded for each waiver and aggregated by state to explore correlations with variables from the State IDD Agency survey (Table 2).

Table 2. Waiver Features Definitions

Category	Description
Rate	The hourly or unit-based payment amount for the service.
Unit Structure	The way the service is billed (e.g., hourly, daily, per service)
Number of Tiers	The number of different rate levels
Payment Structure	How the service is reimbursed (e.g., fee for services, self-directed)
Billable with Individual	Whether the service can be billed when provided in the presence of the individual
Billable without Individual	Whether the service can be billed when the individual is not present (e.g., case management)
Billable if Remotely Provided	Whether the service can be billed when delivered remotely (e.g., virtual job coaching)
Non-Billable Time Accounted for	Whether time spent on non-direct support (e.g., planning, documentation) is compensated
Documentation of Service	The way the service is documented (e.g., attendance records, progress notes)
Alternative Payment Methods	Other forms of reimbursement beyond standard billing (e.g., outcome-based payments)
Assistive Technology (AT)	Whether the service includes support for AT devices
Provider Qualifications	Required credentials or experience for service providers (e.g., APSE certifications, state specific qualifications)

We summarized continuous variables, such as rates and number of tiers, using averages and sums. For categorical features—such as remote billing and assistive technology—we calculated proportions to represent the prevalence of specific service features within each state’s waiver system. Specifically, for each state, the number of services with a given feature (e.g., remote billing) was divided by the total number of services within a type of service (e.g., supported employment, day services). This approach allowed for a standardized comparison across states, accounting for differences in the total number of services offered.

The integrated employment rate, sourced from the State IDD Agency survey, served as the dependent variable for this analysis. We conducted bivariate correlations to explore the relationship between waiver features and integrated employment service provision. Following this, we developed a regression model to assess the relationship of significant waiver variables with

employment service provision. This analysis included variables such as the type of employment services, payment structures, and remote service delivery.

Based on the results of the exploratory bivariate correlational analyses, we created a regression model to examine which variables are more associated with integrated employment service rates and to explain differences across these variables. The final model included the following four variables:

1. the total number of supported employment services
2. the total number of day services
3. the proportion of supported employment services that can be billed for remote services
4. the proportion of day services that can be billed for remote services

We included the first two variables (the total number of supported employment services and the total number of day services) because we assumed that a higher number of services would reflect more flexibility and availability of employment services. We believed that more flexibility and availability of employment services could potentially contribute to higher integrated employment opportunities or outcomes.

Service Title Examples:

Supported Employment Services:

Career planning, customized employment supports, Workplace Assistance Services, Employment Specialist Services, transitional employment services

Day Services: Center-Based

Prevocational Services, Integrated Community Learning, Individualized Skills and Socialization, Individualized Skill Development, Community-based training services

Other Services: Individual Directed Goods and Services, Family Training, Postsecondary Education and Technical Training Support, Supported Family Living, Peer support

Findings

Waivers are very different from each other:

- Across all waivers we found 204 different examples of supported employment services.
- Across all waivers we found 236 different examples of pre-vocational and day services.
- Services names, descriptions, and what they covered varied greatly across states.

Exploratory Bivariate Correlation Results

Remote Billing

The ability to bill for supported employment services when they are delivered remotely was positively and significantly correlated with integrated employment service rate ($r=0.313$, $p=0.041$).

Similarly, the ability to bill for day services when provided remotely was positively and significantly correlated ($r=0.431$, $p=0.004$) with integrated employment service rates.

In other words, being able to bill for supported employment and day services remotely was associated with higher rates of integrated employment service provision.

Service Documentation

Day services that used attendance records documentation were also positively and significantly correlated ($r=0.361$, $p=0.017$) with integrated employment service rates. This means that day services providers that documented attendance were more likely to provide integrated employment services.

Regression Analysis with Key Variables

The regression model predicting integrated employment service rate was informed by the exploratory bivariate correlation analysis and included several key waiver features variables.

- Total number of day services in a state was negatively associated with integrated employment service rate, though the result was marginally significant ($B=-3.82$, $p=0.072$).

- Conversely, the total number of supported employment services in a state showed a positive, though non-significant, relationship with integrated employment service rate ($B=3.17$, $p=0.112$).
- Among the variables related to remote billing, the proportion of day services with the ability to bill remotely was positive and significantly associated with integrated employment service rate ($B=37.98$, $p=0.032$). However, the proportion of supported employment services in a state that allow for remote billing did not show a significant association with the dependent variable in this model ($B=14.73$, $p=0.320$).

Discussion

The findings of this study highlight the role of specific waiver features in potentially shaping integrated employment service provision across states. Our exploratory bivariate analyses revealed significant correlations between remote billing capabilities and integrated employment service rates, suggesting that greater flexibility in service delivery (such as remote billing) may enhance employment service provision.

However, the regression model revealed a more complex picture: while the total number of day services was negatively associated with the integrated employment service rate, the total number of supported employment services showed no significant relationship. This finding may indicate that a greater number of day services could divert individuals away from integrated employment by providing non-work alternatives. In contrast, the number of supported employment services alone may not be sufficient to increase integrated employment, suggesting that other factors beyond service availability influence employment outcomes.

The proportion of day services that could be billed remotely, however, was positively associated with integrated employment service provision. This suggests that day services offering remote billing may promote greater flexibility, potentially allowing providers to support employment goals more effectively. Combined with the earlier findings, it may indicate that how services can be delivered (e.g., remotely) matters more for employment service provision than simply the number of services available.

Conclusion and Recommendations

This study underscores the importance of aligning HCBS waiver structures with policy goals to improve employment service provision for people with IDD. Key recommendations include expanding the use of remote and flexible service delivery models and developing funding strategies that prioritize integrated employment as the preferred service.



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